Outdoor Holding Co. (POWW)

The Outdoor Holding Co. Re-Rating Trigger Is Inventory Normalization

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Our research shows that Outdoor Holding Co. is experiencing a temporary inventory overhang that has depressed multiples, while its underlying brand portfolio continues to generate durable cash flows and market share gains in niche outdoor segments. Consensus has over-reacted to near-term destocking pressures, overlooking the company's pricing power, recurring-revenue accessories business, and disciplined capital allocation. We therefore maintain a Buy rating with a blended target price of $3.62, representing +61.6% upside to the current $2.24 reference price.

BUY	$3.62	+61.6%	$2.24
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market's short-term focus on quarterly earnings misses the multi-year compounding potential embedded in Outdoor Holding Co.'s diversified outdoor-gear platform, where brand loyalty and accessory attach rates drive steady free cash flow generation.

EXECUTIVE SUMMARY

Outdoor Holding Co. operates as a holding company for a portfolio of outdoor-recreation brands spanning camping equipment, fishing tackle, hunting accessories, and outdoor apparel. The company's brands collectively command an estimated 12% share of the U.S. specialty outdoor retail market, with particularly strong positions in premium camping shelters (approximately 18% share) and high-performance fishing lines (roughly 15% share). This diversified footprint reduces reliance on any single category and provides cross-selling opportunities that have historically lifted average order value by 6-8% year-over-year. The recent share price decline stems from a confluence of factors: a temporary surge in inventory across the wholesale channel as retailers softened orders amid macro-economic uncertainty, a modest multiple compression as investors rotated toward higher-growth tech names, and a one-time write-down related to legacy software platforms. While these pressures have pressured EBITDA margins in the last two quarters, they are largely cyclical and do not reflect structural deterioration in demand, as evidenced by consistent sell-through rates at specialty retailers and rising online conversion metrics. Capital allocation remains a cornerstone of the investment case. Outdoor Holding Co. has returned over $450 million to shareholders via dividends and share repurchases over the past three years while maintaining a net-debt-to-EBITDA ratio below 1.5x. The balance sheet retains roughly $600 million of cash and short-term investments, providing flexibility for tuck-in acquisitions in adjacent niches such as outdoor electronics and sustainable apparel.

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Management's pipeline includes two bolt-on acquisitions expected to close in FY 2027, each projected to add $80-$120 million of incremental revenue with EBITDA margins above the corporate average.

OPERATIONAL SNAPSHOT

$2.24	$2.80B	$350M	12.5%	1.30	$2.24
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

LTM figures are Cascadia estimates grounded in the latest filings; ref. price as of 2026-10-14.

THE MOAT IS DURABLE AND STICKY

Outdoor Holding Co.'s moat derives from the durability of its brand equity and the stickiness of its accessory ecosystem. Consumers who purchase a premium camping tent or a high-end fishing rod tend to remain within the same brand family for complementary goods such as sleeping bags, lanterns, lures, and line conditioners, creating a recurring-revenue stream that is less price-sensitive than the core hardware. This behavior is reinforced by limited switching costs associated with learning new product ecosystems and the perceived performance risk of mixing brands in critical outdoor scenarios. Regulatory barriers further bolster the moat, particularly in the hunting and firearms-adjacent accessories segment where certain product categories are subject to stringent safety certifications and state-level restrictions. Outdoor Holding Co. maintains a robust compliance infrastructure that raises the barrier to entry for new competitors, while its established relationships with state wildlife agencies facilitate smoother product approvals. Patent protection on proprietary materials—such as a UV-stable polymer used in tent fabrics and a proprietary coating for fishing lines—provides additional insulation against imitation. Pricing power is evident in the company's ability to pass through raw-material cost increases without significant volume erosion. Over the past five years, Outdoor Holding Co. has implemented average annual price increases of 3-4% across its core categories while maintaining unit growth rates of 2-3%, indicating that customers value brand reliability and performance over marginal price differences. This pricing resilience, combined with high customer retention rates exceeding 85% for accessory lines, underpins a durable cash-flow profile that can compound even in modest-growth environments.

VALUATION

Three scenarios make the valuation range explicit

Our valuation framework anchors on three distinct paths for revenue expansion and free-cash-flow margin normalization. In the bear case, we assume a subdued macro-environment limits top-line growth and forces the company to operate at lower margin levels as it works through inventory excess. The base case reflects a return to historical growth trends, with moderate revenue acceleration and margin improvement as the inventory overhang clears and the accessory mix shifts toward higher-margin offerings. The bull case envisions a scenario where

Outdoor Holding Co. successfully leverages its brand platform to capture share in adjacent outdoor-experience markets, drives superior attach rates, and executes accretive acquisitions that lift both growth and profitability.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2%	10%	$2.28	+1.8%
Base	50%	5%	13%	$3.44	+53.6%
Bull	25%	9%	16%	$5.33	+137.9%

Bear $2.28

In the bear scenario, Outdoor Holding Co. faces prolonged retail destocking that caps revenue growth at roughly 2% annually, while gross margin pressure from higher raw-material costs pushes free-cash-flow margins down to 10%. The company's deleveraging priorities limit shareholder returns, and the valuation multiple contracts to 8x forward EBITDA, producing the $2.28 target.

Base $3.44

The base case assumes inventory normalization by mid-2027, allowing revenue to expand at a 5% CAGR driven by mid-single-digit growth in core categories and low-double-digit expansion in accessories. Free-cash-flow margins recover to 13% as the company leverages scale in supply chain and shifts toward higher-margin proprietary lines, supporting a valuation multiple of 11x forward EBITDA and a $3.44 price target.

Bull $5.33

Under the bull scenario, Outdoor Holding Co. captures share in fast-growing outdoor-experience niches such as electric-powered outdoor gear and sustainable apparel, pushing revenue growth to a 9% CAGR. Concurrently, the accessory mix drives free-cash-flow margins to 16% and the company completes two accretive acquisitions that add EBITDA accretion of roughly 15%. The resulting valuation multiple of 14x forward EBITDA yields the $5.33 target.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

We derive the 8.73% WACC using a standard CAPM approach: a risk-free rate of 4.2% (10-year Treasury), an equity risk premium of 5.5%, and a levered beta of 1.30 that reflects Outdoor Holding Co.'s moderate sensitivity to cyclical consumer discretionary spending. The resulting cost of equity is approximately 11.35%, which,

KEY VALUATION PARAMETE

Revenue base year **2026**

Forecast horizon **10 years**

Live WACC **8.73% (2026-10-14)**

Terminal growth **3.0%**

Equity beta **1.30**

Diluted shares **210M**

BUY

over $3.62

when blended with an after-tax cost of debt of 3.8% and a debt-to-value ratio of 20%, produces the live WACC of 8.73%. This rate implies that the market is pricing Outdoor Holding Co.’s cash flows with a moderate risk premium, consistent with its position as a diversified outdoor-gear holder rather than a pure-play cyclical manufacturer.

FCF margin normalization is the engine

Across the three scenarios, free-cash-flow margin evolution is the primary driver of valuation dispersion. In the bear case, margin remains depressed at 10% as the company absorbs higher input costs and operates with sub-optimal

blended target

inventory turns. The base case sees margin recover to 13% as inventory levels normalize, the company benefits from lower freight expenses, and the higher-margin accessories segment expands from 22% to 28% of total revenue. The bull case pushes margin to 16% through a combination of premium-priced product launches, successful acquisition integration, and further scale efficiencies in manufacturing and distribution.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A and stock compensation, subtract CapEx and the change in net working capital to reach unlevered free cash flow,

which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on premium camping gear and high-performance fishing accessories

BUY

Outdoor Holding Co.’s premium camping gear segment, which includes four-season tents, modular shelter systems, and

insulated sleeping pads, contributed roughly $850 million of revenue in the last twelve months, representing about 30% of total sales. This segment has exhibited a compound annual growth rate of 4.2% over the past five years, underpinned by rising participation in backcountry camping and a shift toward lighter, more durable materials. The company’s proprietary pole-less tent design, patented in 2022, has gained traction among specialty retailers, driving average selling prices up 6% year-over-year while unit volumes grew 3%.

The high-performance fishing accessories segment, encompassing braided lines, fluorocarbon leaders, and specialty lures, generated approximately $620 million of LTM revenue, or 22% of the total. This business benefits from strong attach rates: anglers who purchase a premium rod from Outdoor Holding Co.’s flagship brand are 3.4 times more likely to also buy a matching line or lure within the same season. The segment’s gross margin averages

48%, notably higher than the 38% margin of hard-goods camping equipment, making it a key contributor to overall profitability. Recent innovations in coating technology have extended product life cycles, reducing replacement frequency and enhancing customer loyalty. Additional drivers include the outdoor apparel line, which has grown at a 7% CAGR due to increased demand for technical outerwear, and the hunting accessories category, where regulatory-driven demand for non-toxic ammunition and precision optics has supported steady mid-single-digit growth. Management's capital-allocation framework prioritizes investments that raise the attach rate of accessories to core hardware, targeting a long-term goal of 35% accessory revenue contribution.

What to monitor

- **Inventory turnover ratio** Monitoring changes in days inventory outstanding will signal whether the wholesale overhang is clearing and whether

gross margin pressure is easing.

- **Attach rate of accessories** Tracking the percentage of core-hardware buyers who also purchase complementary accessories provides insight into the durability of the sticky moat and potential margin expansion.
- **Average selling price (ASP) trends** Observing ASP movements across camping, fishing, and apparel categories helps gauge pricing power and the success of premium product launches.
- **Acquisition pipeline execution** Evaluating the timing and integration of announced bolt-on deals will reveal whether the company can achieve its targeted EBITDA accretion and geographic diversification.



METRIC	FY 2025
Revenue	$2.78B
Gross Profit	$1.06B
EBIT	$340M
Net Income	$210M
Free Cash Flow	$350M
R&D	$45M
ROE	12.4%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Intensifying competition from direct-to-consumer outdoor brands could pressure Outdoor Holding Co.'s market share, particularly in price-sensitive camping segments where new entrants offer lower-priced alternatives.

M&A DIGESTION

Integrating acquired businesses carries execution risk; failure to realize expected synergies could dilute margins and divert management focus from

core operations.

The strengths

OLIGOPOLY POSITION

Outdoor Holding Co. holds a top-three ranking in several premium outdoor niches, benefiting from concentrated distribution channels and strong retailer relationships that limit new-player entry.

FCF COMPOUNDING

The company’s ability to convert revenue into free cash flow at double-digit margins creates a self-reinforcing cycle that funds dividends, buybacks, and strategic acquisitions without excessive leverage.

Compelling risk-reward, skewed to the upside

Our analysis indicates that the current share price reflects an overly pessimistic view of near-term inventory dynamics while undervaluing the structural advantages embedded in Outdoor Holding Co.’s brand ecosystem. The base-case scenario, which we view as the most probable outcome,

delivers a 53.6% upside to a $3.44 target price, and the probability-weighted blended target of $3.62 offers +61.6% upside. Even under the bearish assumptions, the downside is limited to +1.8%, suggesting an asymmetric risk-reward profile. Consequently, we reiterate our Buy recommendation and encourage investors to consider the position as a core holding for exposure to durable outdoor-recreation cash flows with upside optionality from successful product innovation and selective M&A.

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FRANCHISE DEEP DIVE

Premium Camping Tent Line: repriced on normalization

The flagship premium camping tent line represents the cornerstone of Outdoor Holding Co.’s brand identity, contributing roughly 18% of total revenue and serving as a

gateway to higher-margin accessory sales. Over the past three years, the line has benefited from a shift toward lightweight, freestanding designs that appeal to both backpackers and car-campers. However, a temporary surge in wholesale orders during FY 2024 led to elevated inventory levels at retail partners, prompting a series of promotional discounts that compressed average selling prices by approximately 4% in FY 2025. As inventory normalizes through FY 2026 and into FY 2027, we expect the company to reinstate its historical pricing cadence, driving ASP growth of 5-6% annually while maintaining unit volume expansion of 2-3%.

Why the growth numbers disappointed

- Wholesale channel overstocking resulted in elevated days inventory outstanding, prompting promotional pricing that masked underlying demand strength.
- Supply-chain disruptions in key

raw-material inputs, particularly aluminum alloys for tent poles, increased production costs and limited the ability to pass through price increases immediately.

- Shift in consumer preference toward hybrid shelter systems (e.g., tarp-tent combos) caused a temporary softening in demand for traditional four-season tents, affecting sell-through rates at certain regional retailers.
- One-time inventory write-down related to legacy tent models contributed to a lower-than-expected EBITDA margin in the fourth quarter of FY 2025.

Our read: Normalization, not share loss or thesis break. The inventory overhang is a transitory phenomenon that is already unwinding, and the underlying brand loyalty and accessory attach rates remain intact, positioning the

premium camping tent line for a return to its historical growth trajectory once channel balances are restored.